

DAK SRONG 2 HYDROPOWER PROJECT

Document Prepared By Kyoto Energy Pte. Ltd.

Project Title	Dak Srong 2 Hydropower Project
Version	1.1
Date of Issue	04-December-2012
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1 PROJECT DETAILS

1.1 Summary Description of the Project

Not applicable as per the last version of the VCS Standard (version 3.2, hereafter referred to as the VCS Standard) since the proposed project activity is validated under the CDM.

1.2 Sectoral Scope and Project Type

Sectoral scope: 1 . Energy industries (renewable - / nonrenewable sources)

Project Type: Renewable Energy Projects

The proposed project activity is not a grouped project.

1.3 Project Proponent

Hoang Anh Gia Lai Hydropower Joint Stock Company

(Project Owner and responsible for the implementation of the proposed project activity)

- Address: No 15, Truong Chinh street, Pleiku city, Gia Lai province, Vietnam
- Phone: +84 59 22 22 257
- Fax: +84 59 22 22 258
- Represented by: Mr. Nguyen Van Hung, Director
- Email: nvhung.hagl@gmail.com

1.4 Other Entities Involved in the Project

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

1.5 Project Start Date

According to VCS Standard, the project start date is the date on which the project began generating GHG emission reductions or removals. Hence for the project, start date is considered as the first Comercial Operation Date (COD) of the project on 30/10/2010.

1.6 Project Crediting Period

The crediting period lasts 10 year and is renewable twice. The first crediting period will start on 30/10/2010 (see above). The last VCS last crediting period will end at the date when the last CDM crediting period of the project activity will expire.

1.7 Project Scale and Estimated GHG Emission Reductions or Removals

Project	x
Large project	

Years	Estimated GHG emission reductions or removals (tCO ₂ e)
Year 1	44,466
Year 2	44,466
Year 3	44,466
Year 4	44,466
Year 5	44,466
Year 6	44,466
Year 7	44,466
Year 8	44,466
Year 9	44,466
Year 10	44,466
Total estimated ERs	444,660
Total number of crediting years	10
Average annual ERs	44,466

1.8 Description of the Project Activity

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

1.9 Project Location

- (a) Host Party(ies): Socialist Republic of Viet Nam
- (b) Region/ State/ Province, etc.: Gia Lai Province,
- (c) City/ Town/ Community, etc.: Yang Nam, Ya Ma, and Dak Hninh Communes
Kong Chro district
- (d) Physical/ Geographical location: Latitude of 13°41'45"N and longitude of 108°33'30"E

Figure 1 shows the location of the project:

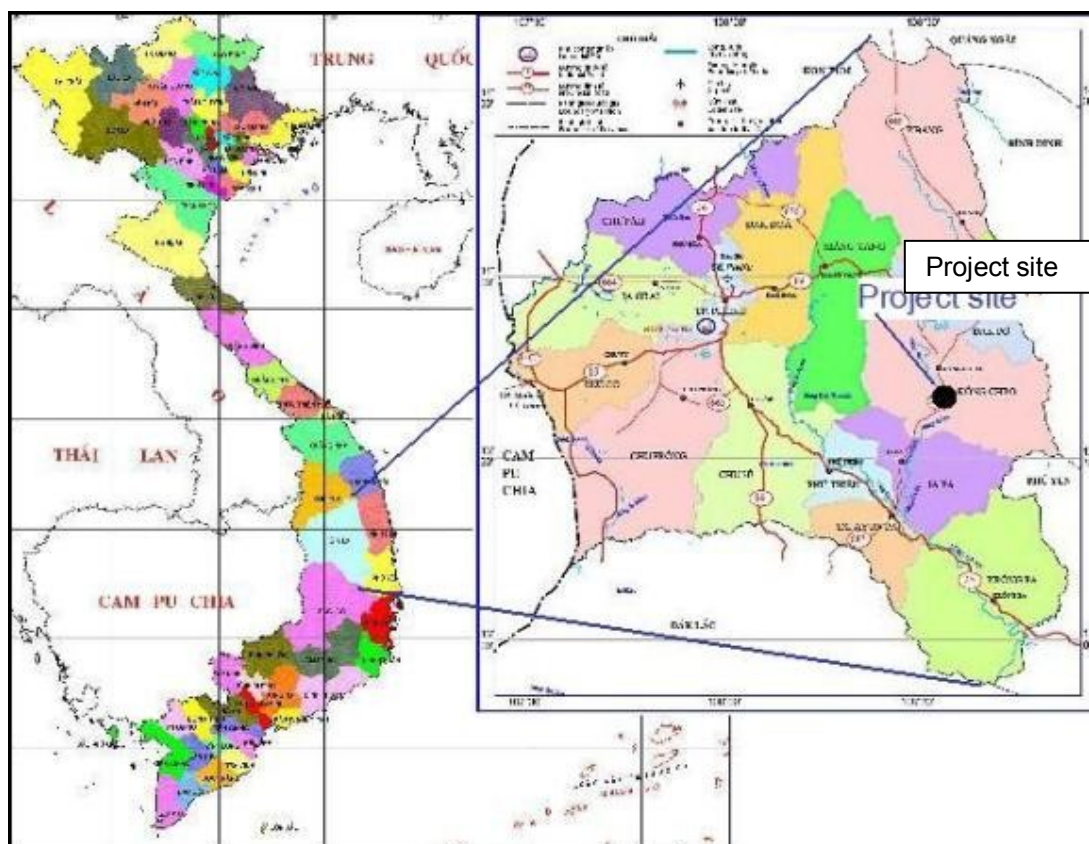


Figure 1: Project location

1.10 Conditions Prior to Project Initiation

The project is a greenfield project activity with the construction and operation of a run-of-river hydropower plant with a total installed capacity of 24MW. As it is run-of-river project, the proposed project design offers a particularly sensitive solution to growing energy demands when compared to an accumulation or a pumped storage project. The need for projects such as Dak Srong 2 is clearly illustrated by the fact that the contribution of hydropower and renewables to the overall supply of electricity in Viet Nam is shrinking and not growing. Currently, due to shortfalls in the amount of electricity available, Viet Nam imports electricity from China, where the grid emission factor is higher than that of Viet Nam. The project will generate power to offset the combustion of thousands of tonnes of fossil fuels and, in doing so, will help preserve non-renewable resources by promoting the exploitation and use of renewable resources and technologies. Therefore, the proposed project activity primarily implemented for power generation and not with a purpose to create GHG emissions and their subsequent reduction, removal or destruction.

1.11 Compliance with Laws, Statutes and Other Regulatory Frameworks

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

1.12 Ownership and Other Programs

1.12.1 Right of Use

The Vietnamese Designed National Authority (DNA), which is within the Ministry of the Natural resources and Environment (MONRE), has issued a letter of authorization (LOA) showing that the project proponent as stated in the section 1.3 is the owner of the plant and that the proposed project activity will generate a reduction of GHG emission under the Kyoto Protocol.

1.12.2 Emissions Trading Programs and Other Binding Limits

The project has not participated in any Emissions Trading Programs and Other Binding Limits prior to the CDM registration date. The first monitoring period in the VCS program is prior to the CDM registration date. The related emission reductions have not and will not be claimed under any other GHG programs.

For the subsequent requests of VCUs issuance, if any, it will be ensured that the emission reductions of the project will not be used for compliance with another emissions trading program or to meet binding limits on GHG emissions.

1.12.3 Participation under Other GHG Programs

The project has been registered as CDM project on 23/02/2011 as reference number 3389 and CERs have been claimed from the CDM-registration date.

1.12.4 Other Forms of Environmental Credit

The project has been purely taken up as CDM project and has not been applied for any other form of environmental credit.

1.12.5 Projects Rejected by Other GHG Programs

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

1.13 Additional Information Relevant to the Project

Eligibility Criteria

Not applicable since the proposed project activity is not a grouped project.

Leakage Management

According to CDM methodology ACM0002 (which has been applied by the proposed project activity), leakage emissions are considered as zero for the proposed project.

Commercially Sensitive Information

There is no commercially sensitive information for the project.

Further Information

The proposed project activity is particularly contributing to the improvement of the local community along the three pillars of the sustainable development:

A - Environmental benefits:

The proposed project activity has positive impacts with respect to the environment. It is offsetting fossil fuel use and lowering greenhouse gas emissions while helping the country to cope with the growing demand of energy.

The approved EIA mainly results in showing that the project is not harmful to the environment and does not report any impact on endangered species.

Besides, thanks to its implementation, the project will contribute to raise the awareness on climate change among the local community (through the stakeholder meeting) or at a larger scale through the donation of part of the CER revenue to the Vietnam Environment Protection Fund (for further details, please see the “economic benefits”).

B - Social benefits

The project is improving the local economy through local employment during both the construction period (short-term jobs) and the operation (long-term jobs) of the plant. Some of these jobs require high level of expertise which is contributing to the increase of the local standard of living. The local knowledge will also increase due to the transfer of technology.

Finally, it has to be highlighted that this project activity is of large scale and that no residential land is impacted. Thus, no indigenous people have to resettle due to the implementation of the proposed project activity.

C - Economic benefits

In Viet Nam, all CDM registered projects are especially beneficial for the local community. Indeed, as per the Vietnamese Circular No: 58/2008/TTLT-BTC-BTN&MT issued by the Ministry of Natural Resources and Environment and by the Ministry Of Finance, 1.2% of the CER revenue from the implementation of Renewable Energy Sources projects will be given to the Vietnam Environment Protection Fund (VEPF). This money will notably be used for supporting the propagation, disseminate information and improve the public awareness in relation to climate change and CDM.

The project also contributes directly to the local economy through the payment of local taxes.

2 APPLICATION OF METHODOLOGY

2.1 Title and Reference of Methodology

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

2.2 Applicability of Methodology

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

2.3 Project Boundary

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

2.4 Baseline Scenario

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

2.5 Additionality

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

2.6 Methodology Deviations

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

3 QUANTIFICATION OF GHG EMISSION REDUCTIONS AND REMOVALS

3.1 Baseline Emissions

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

3.2 Project Emissions

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

3.3 Leakage

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

3.4 Summary of GHG Emission Reductions and Removals

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

4 MONITORING

4.1 Data and Parameters Available at Validation

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

4.2 Data and Parameters Monitored

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

4.3 Description of the Monitoring Plan

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

5 ENVIRONMENTAL IMPACT

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.

6 STAKEHOLDER COMMENTS

Not applicable as per VCS Standard since the proposed project activity is validated under the CDM program.